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Required Report - public distribution

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GAIN Report Number:

Argentina

Oilseeds and Products Update

February Lock-up

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Report Highlights:

FAS Buenos Aires reduces its estimates for soybean area and production for marketing year 2013/14 to 20.3 million hectares and 54 million metric tons, respectively, based on dry conditions leading to the loss of second crop soybeans in the western and southern province of Buenos Aires. Sunflowerseed area is held steady at 1.45 million hectares, but due to dry conditions and lower than average yields seen in the beginning of the harvest, production is lowered to 2.3 million metric tons.

Post:

Buenos Aires

Commodities:

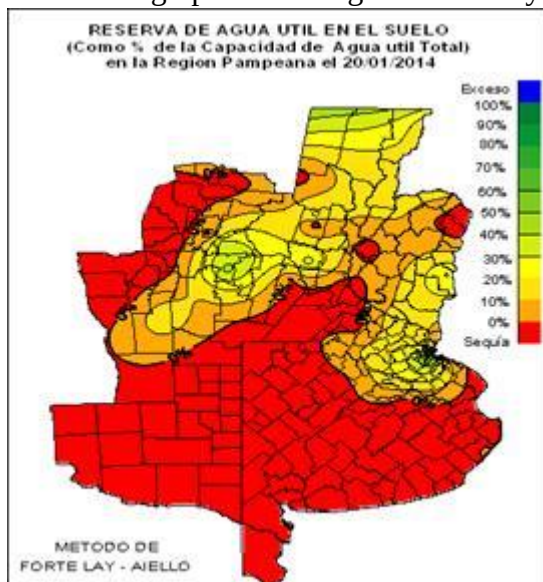
Oilseed, Soybean (Local)

Oilseed, Sunflowerseed

Author Defined:**Soybeans:**

December and January have yielded volatile weather conditions with extreme high temperatures and drought throughout much of the country. Fortunately, the heat hasn't been as damaging as in past years since it has been broken up by showers at different times, in different areas. Overall, there has been adequate rainfall through the central soybean growing region of central and northern Cordoba and Santa Fe provinces and has left the crop in good condition. The Ministry of Agriculture's January 23rd weekly report states that 86 percent of the soybeans are in good or very good condition. Where the rain hasn't reached is the western and southern parts of the Buenos Aires province, where the majority of the second crop soybean, planted after wheat and barley, is harvested. Many contacts indicate that whatever was planted in that region will not recover and some area was never planted to begin with. FAS Buenos Aires lowers its area estimate to 20.3 million hectares (still above the USDA official estimate of 20 million has). The Ministry of Agriculture estimates soybean area for marketing year (MY) 2013/14 at 20.8 million hectares and the Buenos Aires Grain Exchange estimates area at 20.35 million hectares. Production is adjusted downward to 54 million metric tons (MMT), with average yields lowered due to the poor conditions of second crop soybeans.

Below is a graphic showing soil humidity as of January 20, 2014:



Source: Servicio Meteorológico Nacional

Sunflowerseed:

Sunflowerseed area for MY2013/14 is maintained at 1.45 million hectares. This is the lowest area estimated in the last three decades. The Ministry of Agriculture reduced its area estimate from 1.36 million hectares to 1.25 million hectares and the Buenos Aires Grain Exchange maintains its area estimate at 1.48 million hectare. According to the Ministry of Agriculture's January 23, 2014 weekly report, 17 percent of the sunflower area has been harvested. Dry conditions have affected yields and contacts speculate that this year the yields will be lower than average. The Buenos Aires Grain Exchange reports yields for Chaco, Santiago del Estero, Formosa average 1.17 tons per hectare and yields in northern Santa Fe province so far have averaged 1.85 tons per hectare. Production is adjusted to 2.3 MMT.

Harvest Progress, January 23, 2014						
Sunflowerseed						
Province	Local Marketing Year				Area Harvested From:	
	12/13	13/14	12/13	13/14	1/16/2014	1/23/14
	Percentage		Hectares		Percentage	
Buenos Aires	0	0	-	-	0	0
Córdoba	0	0	-	-	0	0
Entre Ríos	3	0	240	-	0	0
La Pampa	0	0	-	-	0	0
Santa Fe	84	41	148,346	63,040	28	41
Other	85	82	367,192	151,870	74	82
Total	32%	17%	515,778	214,910	14%	17%
Source: MAGyP, Weekly Report, 1/23/2014 with sunflowerseed area estimated at 1.25 million hectares						

Peanuts:

There are no changes for peanut production and post maintains its area estimate at 325,000 million hectares. The Ministry of Agriculture's area estimate for peanuts was reduced from 418,000 has to 392,900 ha and their monthly report states that crops are in good condition overall. Many contacts in the industry estimate that peanut area to be lower than 350,000 has.

Production, Supply and Demand Tables:

[illegible]

Oilseed, Sunflowerseed Argentina	2011/2012		2012/2013		2013/2014	
	Market Year Begin: Mar 2012		Market Year Begin: Mar 2013		Market Year Begin: Mar 2014	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	1,875	1,875	1,623	1,623	1,480	1,450
Area Harvested	1,823	1,823	1,623	1,623	1,480	1,450
Beginning Stocks	886	886	369	369	637	369
Production	3,341	3,341	3,100	3,100	2,700	2,300
MY Imports	7	7	10	10	8	8
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	4,234	4,234	3,479	3,479	3,345	2,677
MY Exports	80	80	82	80	75	75
MY Exp. to EU	21	21	20	20	20	20
Crush	3,755	3,755	2,730	3,000	2,750	2,400
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	30	30	30	30	30	30
Total Dom. Cons.	3,785	3,785	2,760	3,030	2,780	2,430
Ending Stocks	369	369	637	369	490	172
Total Distribution	4,234	4,234	3,479	3,479	3,345	2,677
1000 HA. 1000 MT						